

**FORMAT OF DRAFT PARTNERSHIP DEED**

This Deed of Partnership is executed on this ..... day of the month of \_\_\_\_\_ of the year \_\_\_\_ (\_\_\_\_/\_\_\_\_/\_\_\_\_) at \_\_\_\_\_ by and Between:

1. .... S/o .....R/o ..... (hereinafter referred to as party of the first part);

AND

2. ....S/o .....R/o ..... (hereinafter referred to as party of the second part).

WHEREAS the parties above named intend to carry on the business in partnership in the name and style of ..... (name of the firm) vide this Deed of Partnership.

AND WHEREAS all the parties referred to above hereby desire that the terms and conditions be reduced in writing to do away any avoidable disputes and misunderstanding that may arise in future.

**NOW THEREFORE THIS PARTNERSHIP DEED WITNESSETH AS UNDER :-**

1. That the partnership business shall be carried on under the name and style of .....(name of the firm).

2. That the business of the partnership firm ..... (Business object) or any other business as may be decided from time to time mutually by all the partners to this Deed.

3. That Head Office/Place of Business of the partnership firm is situated at ..... (address of the firm)., Goa.

4. That any branch may be opened under the name and style at such place or places as the partners may decide from time to time.

5. That the partnership firm shall be deemed to have been commenced with effect from the .....day of ....., 202...

6. That the capital required for the partnership shall be contributed by the partners as mutually agreed upon amongst the partners.

7. That the regular books of accounts of the partnership shall be maintained at the place of business which shall be closed on..... (eg. 31<sup>st</sup> day of March) each year and each partner shall have access to and power to have copies of the same. All the transactions entered into by them on behalf of the firm shall be faithfully recorded therein.

8. That at the end of each accounting year, the firm's accounts shall be drawn up and the Profit & Loss Account and the Balance Sheet of the firm prepared and the Profit and/or losses falling to the share of each partner shall be credited or debited to the respective accounts.

9. That the Profit and Loss Account and the Balance Sheet shall be duly signed by any two partners and upon signing the same shall be binding and final.

10. That the Profits and Losses as per Profit and Loss Account of the partnership business shall be divided amongst the partners as under.

1. ....% (Party of the First part).

2. ....% (Party of the Second part)

11. That the bank account(s) of the partnership shall be opened and operated by any of the partner to this deed or as may be mutually decided by the partners from time to time.

12. No partner, without the written consent of the all the other partners shall do or abet in doing any of the following acts:-

(i) Sell, mortgage, assign or otherwise transfer his share or interest in the partnership business or property.

(ii) Charge, mortgage, hypothecate, assign or otherwise transfer the business, property or rights of this partnership firm.

13. That the partnership is "AT WILL" (or any term can be specified by the parties) and can be dissolved at any time with the mutual consent of all the parties to this deed.

14. That all the parties to this deed shall work diligently and faithfully to the common advantages of the firm and shall render true and correct information to each other.

15. That any consent or difference which may arise between the partners or their legal heirs, successors or representatives with regard to the construction, meaning and effect to this deed and/or any part thereof or in respect of the accounts, profits or losses of the business of the said firm or any other matter relating to the firm shall be referred to arbitration under the Indian Arbitration Act, 1940 or Civil Court situated at ..... (parties can choose Arbitration or Civil Court).

16. That the provisions of the Indian Partnership Act, 1932 shall apply as regards matters not expressly provided for hereinbefore in this partnership deed.

17. That any of the above terms, conditions and stipulations may be altered, varied or added to by mutually taking the consent of all the partners in writing.

18. That all business expenses shall be borne by the Partnership Firm.

19. The powers and duties of the Partners, which shall be exercised at their sole discretion with mutual consent (written/verbal) from partners, shall include but not limited to the below:

(a) To acquire, purchase, takeover and/or amalgamate business or undertakings of companies or firms which under existing circumstances, from time to time, may conveniently or advantageously be combined with the business of the firm, to amalgamate or merge with companies whose business are so acquired, purchased or taken over and/or to enter into any agreement with the object of acquisition of such undertaking and/or business.

(b) To go into acquisition, purchase, takeover and/or amalgamate of other entities or vice versa as and when Partner opts to do so.

(c) To sell, mortgage, assign or lease and in any other manner dispose off the firm or properties of the firm or any part thereof, whether movable or immovable for such consideration as the Partners of the firm may think fit to any person, Firm, Company or other entity at mutually agreed prices by the partners.

20. That the capital required for the business of Partnership shall be contributed time to time by the PARTNERS in such manner as may be agreed between them. A simple interest @ 6% p.a. (or any such interest or without interest as the parties decide) shall be payable by the firm to the parties.

21. That any partner may draw salary, remuneration and or commission for working in the partnership firm as agreed between the partners.
22. That the books of accounts and other documents belonging to the firm shall be kept at the place of business only and shall at all reasonable times, be open for inspection by any of the parties or his authorized agent.
23. The written consent of all Partners will be required for the partnership to avail credit facilities from any financial institution.
24. That the matters for which no provisions have been made in this deed may be decided upon by mutual consent of the parties in writing.
25. That unless provided hereinbefore, the provisions of the Indian Partnership Act, 1932 shall apply and incase any provision, in the partnership deed is contrary to the provisions in partnership Act, the latter shall prevail.
26. The Partners can retire at any time by giving a 30 days notice to other partner expressing his intention to retire and upon such retirement the continuing partners can continue the Business as decided by the continuing partners/incoming partners or they may dissolve the partnership firm.
27. Similarly, the new partner can be admitted to the partnership firm for the benefit of the firm and as per the terms and conditions of the said admission.
28. The contribution of the fund is made at Rs.\_\_\_\_\_-/- (Rupees \_\_\_\_\_) and as such a stamp duty of Rs.\_\_\_\_\_-/- is paid herewith on this deed.

IN WITNESS WHEREOF the parties hereto have set and subscribed their hands on the day, month and year first mentioned above.

EXECUTANTS

.....

(Party of the First part)

.....

(Party of the Second Part)

WITNESSES :

1. ....

2. ....